

HIGH COURT OF MADHYA PRADESH
BENCH AT INDORE

Mis. Cr. Case No.32205/2021

Kalu Singh s/o Shri Datiya Ninama

Vs.

**State of M.P., through P.S., Amjhera, District Dhar
&**

Mis. Cr. Case No.32211/2021

Azad Bhandari

Vs.

State of M.P., through P.S., Amjhera, District Dhar

Shri Naman Nagrath, learned Sr. Advocate assisted by Shri Kushal Goyal, Advocate for the applicant in Mis. Cr. Case No.32205/20201.

S/Shri Neeraj Kumar Soni and Kush Tambe, learned counsel for the applicant in Mis. Cr. Case No.32211/2021.

Shri Amit Sisodiya, Public Prosecutor for the respondent/State.

Shri Pourush Ranka, Advocate for the Municipal Council, Rajgarh, District Dhar/objector.

Reserved on: 21/09/2021

ORDER
(08/10/2021)

Rohit Arya, J.,

Both; Mis. Cr. Case No.32205/2021 and Mis. Cr. Case No.32211/2021 arise out of common crime case number of the same police station, they are being disposed of by this common order.

However, for the sake of convenience, facts have been considered from **Mis. Cr. Case No.32205/2021.**

2. Both the applications are first applications under section 439 Cr.P.C., on behalf of the applicants, Kalu Singh & Azad Bandari. The applicants are in custody since 12/03/2020 & 22/10/2020

respectively.

Before adverting to rival submissions, it is expedient to reiterate factual matrix of the case in hand.

It is a case of cooperative financial fraud of about Rs.83.00 crores. The rights and interest of about 28,541 depositors are seriously jeopardized who alleged to have been cheated by misrepresentation and fraud having lost the hope of return of their money, the instant FIR has been lodged by one of the depositors, Babulal Maru, registered at crime No.No.424/2019, Police Station Amjhera, District Dhar for the offence punishable under sections 420, 406 & 34 IPC.

3. A society, in the name and style of Shri Rajendra Suri Sahkari Sanstha Maryadit, Rajgarh District Dhar as contemplated under section 49 of the Madhya Pradesh Cooperative Societies Act, 1960 (for short, 'the Act') was registered vide registration No.JR/IDR/2014/1416 on 08/01/2014 (for short the Society"). It is a credit Society engaged in the business of accepting deposits from the members of the Society and granting loans to individuals or group of individuals. The Society unauthorizedly established branches without requisite permission of the competent authority under the Act. These branches have been opened at (1) Kukshi, (2) Ringnod (3) Dasai, (4) Bidwal, (5) Kdodkala (6) Nagada (7) Rajod & (8) Baga in the district Dhar.

Initially nominated Board of Directors, namely; (1) Sureshchandra Tated, (2) Smt. Kanta Bhandari (3) Mukesh Kawadiya (4) Ajad – Ratanlal Bhandari (5) Kantilal Bhandari (6)

Kalu Singh Ninama (7) Jitendra Muraniya (8) Dharmendra Bagadiya (9) Smt. Jyoti Rajesh Pawar, (10) Hemant Panchilal Jain and (11) Babulal Tekchand Chawada. The same Board of Directors through so called elections continued to manage, control and regulate the functioning of the Society and its branches.

Number of deposit schemes were floated in public domain with handsome returns soliciting deposits from the public at large and inviting them to become members of the Society to avail the benefits of such schemes.

During the period 2014 to 2018, following members were registered in the Society & its Branches.

S.No.	Place	Amount (Rs.)	Total No. of account holders
1	Rajgarh (Head office)	269838374.46	10218
2	Kukshi	98059293.97	3275
3	Ringnod	45809079.52	2605
4	Dasai	83112662.48	3422
5	Bidwal	38104631	1219
6	Kadodkal	34470200.17	972
7	Nagda	67451576.1	1488
8	Rajod	92231786.77	2476
9	Baga	104818535.23	2866
	Total	8338951439.7	28541

About Rs.8338951439.70 had been received from such members / victims. Thereafter, in a systematic and clandestine manner the exercise of huge number of loan disbursement was initiated by the Board of Directors, sanctioning loans in the name

of Board of Directors, their friends, relatives and fictitious persons without fulfilling requisite formalities under byelaws to the tune of more than Rs.909378317.75. Even there has been transfer of funds in the names of Board of Directors directly unauthorizedly and illegally. For reference; few instances of loan disbursements/transfer of funds are mentioned as under:

- (1) Smt. Rachna Kavdiya on 18/08/2010 : Rs.772000/- (exhibit P/27)
- (2) MukeshChandra on 15/12/2016 : Rs.10,00,000/- (exhibit P/28)
- (3) Abhishek on 14/02/2013 : Rs.1.50 crores (exhibit P/29)
- (4) **Kalu Singh on 30/03/2012 :Rs. 25.00 lakhs (exhibit P/30)**
- (5) Max Developers on --- : Rs.03.00 crores (exhibit P/31)
- (6) Rajendra Chaslani on 14/023/2013: Rs.1.25 crores

As such, such huge number of depositors are now at cross-roads having lost their valuable savings deposited with *bona fide* belief, trust and hope to yield the benefits of floated schemes.

The applicant, Kalu Singh is one of the Board of Directors since the very beginning and has been directly involved in control, supervision and regulation of the funds of of the Society at Rajgarh and its branch including disbursement of loans.

It may also be stated that the cooperative department having realized the huge financial fraud of the Society, appointed a 07 member committee to look into the constitution, working and financial condition of the Society and its branches. The committee, headed by Rajesh Victor, Audit Officer and his team after threadbare examination of record submitted a detailed comprehensive report on 28/08/2019 detailing the number of depositors, the amount of deposit, number of loans sanctioned and disbursed without proper identity of persons, the amount of loan

in each branch of the Society and transfer of funds from the account of Society and its branches into the accounts of the Board of Directors, their relatives & friends and fictitious persons.

It is also expedient to mention that during the course of enquiry, the committee had called upon the Board of Directors through notice No. Enquiry/2019/Q dated 3/08/19 under section 60 of the Act which was duly received by them. A reply was submitted by Society vide its No.Q/19-20 dated 07/08/2019 as evident from internal pages 1 and 2 of the report.

Based on the aforesaid enquiry report, the cooperative department has lodged a complaint through Rajesh Victor & FIR was registered at crime No.391/2019, Police Station Rajgarh, District Dhar.

Besides, the FIR in the instant case at crime No.424/2019, Police Station Amjhara, District Dhar; number of FIRs have also been registered on the basis of complaints of other depositors at crime No.289/2019, Police Station Rajod, District Dhar, crime No.13/2020 Police Station Kukshi, District Dhar, crime No.30/2020 Police Station Kanwan, District Dhar, crime No.229/2020 Police Station Bag, District Dhar & crime No.439/2019 Police Station Sardarpur, District Dhar.

It further appears that at the instance of President of the Society, Sureshchandra Tated, having realized serious penal consequences flowing from the FIRs, through his son, Hardik made a complaint at the CM helpline soliciting fresh enquiry.

Surreptitiously, one Ambrish Vaidya, Deputy Commissioner

Jhabua was chosen to hold a re-enquiry though there is no provision for re-enquiry in the Act. The report submitted by the said officer dated 10/07/2020 is not part of challan though referred to and relied upon by the learned senior counsel for the applicant.

A bare perusal of the aforesaid report dated 10/07/2020 (supra) suggests that Ambrish Vaidya did not deal with details of number of depositors and the amount of deposit. Likewise, the details of lonees in whose names loans have been disbursed and transfer of funds in the accounts of Board of Directors, their relatives & friends and fictitious persons are not even mentioned, muchless; discussed and analyzed. It is also apparent that record of the society and its branches were not scrutinized. The report merely suggest that since the 07 member committee report was not communicated to the Board of Directors, there is a violation of section 61 of the Act. Therefore, the said report cannot be acted upon. It is a case of financial imbalance and not financial misappropriation which can be rectified with due opportunity to the concerned erring persons.

It is pertinent to mention that the said report dated 10/07/2020 (supra) has been submitted much after comprehensive investigation, collection of incriminating documents, recording of statements of depositors and other victims by the investigating agency and submission of final report under section 173 Cr.P.C., ; in the instant case on 22/04/2020 before the competent Court of jurisdiction and registration of other FIRs at different Police Stations.

This Court has carefully perused the report of 07 member committee (supra); a part of case diary and the few instances of afore-referred and glaring factual aspects amongst others are culled out from the report.

4. Shri Naman Nagrath, learned senior counsel contends that the applicant is innocent and has been falsely implicated. Investigation is complete and challan has been filed. No further custodial investigation is required. The applicant is in custody since 12/03/2020.

The sheet anchor of argument of learned senior counsel hinges on the order dated 03/06/2021 in batch of five miscellaneous criminal cases/bail applications under section 439 Cr.P.C., lead case being Mis. Cr. Case No.36400/2020 (Kalu Singh Ninama s/o Datiya Ninama Vs. The State of Madhya Pradesh) passed by the coordinate Bench arising out of crime No.**391/2019** registered at Police Station Rajghar, Tehsil Sardarpur, District Dhar.

Likewise, order dated 06/09/2021 in batch of three miscellaneous criminal cases/bail applications under section 439 Cr.P.C., lead case being Mis. Cr. Case No.29516/2021 (Jagdish s/o Shantilal Chyoyal Vs. The State of Madhya Pradesh) passed by the coordinate Bench arising out of crime No.439/2019 registered at Police Station Sardarpur, District Dhar. The common order has been passed following the order dated 06/09/2021 in Mis. Cr. Case No.29516/2021 (Jagdish s/o Shantilal Chyoyal Vs. The State of Madhya Pradesh) arising out of crime No.**391/2019** (supra).

Learned senior counsel submits that the applicants therein including the present applicant have been enlarged on bail.

While relying on the order passed by the coordinate Bench dated 06/09/2021 (supra), learned senior counsel submits that the report of 07 member committee is of no consequence after submission of report by Vaidya on 10/07/2020 (supra) wherein it is correctly observed that for want of supply of enquiry report dated 28/08/2019 (supra) to the Board of Directors under section 61 of the Act, the said report could not have been acted upon. However, he maintained his blissful silence over the fact that the said seven-member committee had issued notice to the Board of Directors and reply was submitted by them in response thereto which was duly considered by the seven member committee.

Learned senior counsel submits that the FIRs were registered in haphazard manner. Besides, learned senior counsel submits that PIL vide W.P.No.12546/2020 seeking CBI enquiry, the State Government in reply to paragraphs 8.2 and 8.4 of the writ petition had stated that there was no misappropriation of funds but, there is financial imbalance in the affairs of society has been pointed out by Vaidya in the report (supra). Therefore, the allegations made in the FIR prima facie cannot be attributed to the applicant. The applicant deserves to be enlarged on bail, on the ground of parity.

5. Learned Public Prosecutor submits that it is a case of embezzlement of about Rs.83.00 crores deposited by the *bona fide* depositors by the Board of Directors and their associates through

bogus loans and illegal clandestine transfer of money from the account of Society in the accounts of the Board of Directors, their friends & relatives and fictitious persons.

Learned counsel further submits that genesis of the crime case No.391/2019 (*supra*) and the present crime case No.424/2019 (*supra*) and other FIRs registered at different police stations is the seven member committee report (*supra*) of the Society.

The President of Society Suresh Tatend and others vide Mis. Cr. Case No.41268/2019 (Suresh Tanted and others Vs. State of M.P.) and Mis. Cr. Case No.41279/2019 (Vindhesh Mandloi and others Vs. State of M.P.) had approached this Court seeking quashment of FIR No.391/2019 registered at Police Station Rajgarh, District Dhar on several grounds including the grounds raised in this bail application viz., the seven-member committee report is of no consequence as there is violation of section 61 of the Act in the matter of non-communication thereof to the Board of Directors and in the return filed in the writ petition of PIL (*supra*); the State Government has stated that it was not a case of financial embezzlement of public funds but financial imbalance of funds in the affairs of the society. The same was referable to Vaidya's report (*supra*).

The coordinate Bench (Hon'ble Justice Shri Virender Singh) repelling all the contentions has dismissed both miscellaneous criminal cases filed under section 482 Cr.P.C., vide order dated 04/02/2020. The order has been subject matter of SLP

(Criminal) No.2579/2020 before the Hon'ble Supreme Court and the same has been rejected vide order dated 16/06/2020, however, liberty was granted to the applicants therein to surrender before the concerned Court.

Under such circumstances, the contention of learned senior counsel for the applicant that the instant FIR at crime No.424/2019 (supra) cannot be looked into or acted upon for the reason that the provision of section 61 of the Act was not followed, is in despair and of no consequence.

Learned counsel further submits that the coordinate Bench while allowing Mis. Cr. Case No.36400/2020 (Kalu Singh Ninama s/o Datiya Ninama Vs. The State of Madhya Pradesh) (supra) has though mentioned seven-member committee report (supra) but did not either consider the report or deal with serious allegations dealt with in the report. Instead based on observations of Vaidya report (supra) (which was not in existence at the time of registration of FIR or for that matter submission of final report before the Court of competent jurisdiction) and the reply of State Government in PIL (supra) referred above, has concluded entitlement of the applicant therein for grant of bail.

It appears that order passed by this Court dismissing 482 Cr.P.,C., petition in Mis. Cr. Case No.41268/2019 (Suresh Tanted and others Vs. State of M.P.,) (supra) and dismissal of SLP (Criminal) by Hon'ble Supreme Court on 16/06/2020 (supra) was not brought to the notice of the Court.

Learned counsel further submits that the seven-member

committee was constituted vide (order: Legal/2018/3745 Dhar dated 17/12/2018 and amended vide order No.Lega/2019/738 Dhar dated 02/04/2019). The committee has examined record of each society / branch threadbare and flow of funds has been reconciled with the bank accounts. The findings as regards details of deposits and siphoning of funds through conduit in the form of loans or direct transfer in the accounts of Board of Directors or their friends & relatives are graphically clear. As such, the report could not have been ignored by the coordinate Benches while enlarging the applicants therein on bail resting its order on Vaidya's report (supra).

That apart, during the investigation, the statements of number of depositors / victims and other witnesses have been recorded under section 161 Cr.P.C., corroborating the allegations made in the FIR. The statement of Rajeev Victor; one of the member of the seven-member committee has also been recorded and thereafter the report has been procured from the cooperative department. The final report has been filed on **22/04/2020** under section 173 Cr.P.C., before the Court of competent jurisdiction. The report of Vaidya came on surface on 10/07/2020 (supra) much after submission of final report before the Court of competent jurisdiction. These facts are common in all the criminal cases including crime No.**391/2019** (supra).

The learned counsel submits that the mere alleged non-compliance of section 61 of the Act shall not nullify the investigation and submission of final report before the Court of

competent jurisdiction.

If some one is aggrieved by the alleged violation of provisions of section 61 of the Act, he has a remedy under the Act as the Act itself is a complete Code.

With reference to reply of the State government in PIL (supra), learned Public Prosecutor submits that the reply was filed to resist the prayer seeking CBI enquiry purportedly on the basis of Vaidya's report (supra). The same has no relevance to the instant crime case No.424/2019 (supra) in which final report was filed on **22/04/2020** and the matter is *seisin* with Court concerned.

Learned counsel further submits that some of the accused viz., (1) Neeta Balsad, (2) Deepak Beiragi (3) Jyoti Pawar (4) Jinendra Muranya, (5) Hemant Jain (6) Kantilal Bhandari (7) Kanta Bhandari (8) Dharmendra Bhandari (9) Kanlal Patel, (10) Shantilal Jat (11) Pankaj Pawar (12) Savindra Bundela (13) Sachin Khede (14) Ghanshyam Choudhari (15) Mahendra Rajput (16) Panshu Sharma & (17) Satish Kushwah are **still absconding and Society/branches are deserted and closed.**

6. Shri Ranka, learned counsel for the objector adopted the contentions so advanced by learned Public Prosecutor and prayed for dismissal of the instant bail applications.

7. Heard.

8. Upon perusal of the case diary and consideration of submissions advanced *prima facie*, it appears that 28541 depositors had reposed faith and trust in the Society and its branches, but have been cheated and are now at cross-roads with

no hope of settlement and refund of their deposits / money. The clandestine manner in which such huge deposits have been allegedly siphoned off through bogus loan disbursements without adherence to byelaws of society *prima facie* suggest that fraud played on public at large is in a systematic manner with an element of *mens rea*.

9. Learned senior counsel seeks parity with the order dated 3.6.2021 in M.Cr.C.No.36400/2020 arising out of Crime No.391/2019 and subsequent order dated 6.9.2021 in M.Cr.C.No.29516/2021 (*supra*) of coordinate Bench based on the said order (*supra*).

This Court is of the considered view that such contention cannot be countenanced for following reasons;

(i) Crime No.391/2019 and the instant Crime No.424/2019 registered on the basis of the FIR, at the instance of the department and at the instance of depositors/victims respectively contained allegations constituting offence of breach of trust, cheating, mis-representation and fraud on the basis of seven member committee report (*supra*); the self contained and explanatory report under the orders of competent authority.

(ii) *prima facie*, veracity and sustainability of the allegations are well evident in the order dated 4.2.2020 (Hon'ble Shri Justice Virender Singh)

while dismissing M.Cr.C.No.41268/2019 (supra) seeking quashment of the FIR on merits and dismissal of SLP (Cri.) No.2579/2020 arising out of the said order by the Hon'ble Supreme Court dated. 16.6.2020.

(iii) The orders dated 3.6.2021 and 6.9.2021 (supra) granting bail to the applicant and others do not deal with the serious allegations made in the FIR as rightly contained by learned counsel for the State. Instead, the grant of bail is justified because the report of Vaidya dated 10.7.2020 had found violation of Section 61 in the seven member committee report. This Court has looked into the Vaidya's report (supra) and has found it merely a lip service as it does not at all deal with details of deposits and allegations of siphoning of funds in a clandestine manner through bogus loans etc. without due advertence to the record of the society and its branches and reconciliation with the bank accounts of society/branches. The report in fact and in effect pushed all misdeed of the Board of Directors under the carpet.

(iv) Final report in Crime No.391/2019 was filed on 26.2.2020 and in the instant Crime No.424/2019 was filed on 22.4.2020, much prior

to the report dated 10.7.2020 by Vaidya. Due diligence and thoughtful consideration of serious allegations made in the FIR became all the more necessary after dismissal of petition under Section 482 Cr.P.C.on merits seeking quashment of the FIR at Crime No.391/2019 (supra). That has not been done.

(v) This Court cannot remain oblivious and indifferent to apathy of depositors/victims running in thousands standing at cross roads having lost their *bona fide* deposits to the tune of Rupees Eighty Three Crores and misappropriation thereof by Board of Directors including the applicant, their friends and relatives through *prima facie* clandestine loan transactions.

Crime is primarily against society. Intensity or gravity of offence and degree of involvement of culprits of course with an element of *mens rea* determine its impact in the eyes of public at large.

(vi) The final report submitted on 22.4.2020 in the instant Crime No.424/2019 at the instance of the depositors contains corroborative statements of number of depositors/victims recorded under Section 161 Cr.P.C. Incriminating material has

been collected to substantiate the alleged offence of fictitious and bogus loans to siphon deposited funds from Society and each of its unauthorized branches. These are relevant materials having direct proximity with allegations made in FIR and deserve due consideration while the bail application is taken up for consideration. After submission of seven member committee report under Section 60 (supra), there is no provision for re-enquiry as was sought to be done by Vaidya on 10.7.2020. In fact, it is also noticed that Vaidya has also been served with show cause notice on 20.9.2019 by the co-operative department alleging extension of undue benefit to the instant Society through his report.

(vii) This Court finds substantial force in the submissions of learned counsel for the State that if for any reason there is a complaint of violation of Section 61 of the Act in the context of seven member committee, this by itself shall not render efficacy and relevancy of the report otiose and nullify the effect thereof in criminal action under Cr.P.C. Redressal against such technical flaw or violation of Section 61 of the Act can be sought under the Co-operative Societies Act itself; a self contained Code.

(viii) The reply of the State Government in W.P.No.12546/2020 (PIL) in reply to paragraph No.8.2 and 8.4 of the writ petition in fact in no way dilutes the seriousness of grave allegations in the FIR, which has to be dealt with through the process of investigation and trial as contemplated under the Cr.P.C. Even otherwise, such reply was filed only to resist the prayer for CBI enquiry and that too based on Vaidya's report dated 10.7.2020, therefore, is of no consequence in the present context.

The principle of parity as laid down by Hon'ble Supreme Court in the case of **Ajmer Singh Vs. State of Haryana, AIR 2010 SC (Supp) 582** applies only if the alleged offence arises out of the same FIR and the crime number at same Police Station. Hence the same is distinguishable. **Firstly**; crime No.391/2019 (supra), has been registered on the basis of complaint of the department whereas the instant crime No.424/2019 (supra) has been registered at the instance of a complaint filed by the depositor. Both the aforesaid FIRs have been registered at different police stations and at different places; **secondly**; in none of the bail orders passed by the coordinate Benches (supra), the allegations made in the FIRs, statements of depositors / victims recorded under section 161 Cr.P.C., and the incriminating material collected including the seven-member committee report have been addressed and considered.

10. In the instant case, the allegation of breach of trust, fraud and cheating as well as misrepresentation *prima face*, are based on relevant material placed before the investigating agency and the consideration whereof is of paramount importance in the matter of grant of bail as well.

11. This Court has given thoughtful consideration to the material placed and *prima facie* is of the considered opinion that complicity of applicant in the alleged offence is borne from the record. Regard being had to the huge amount of defalcation running into more than 83.00 crores of about 28541 depositors and alleged mis-appropriation in a clandestine manner through disbursement of bogus loans to friends and relatives of Board of Directors, fictitious persons and transferred amount into the accounts of the Board of Directors. It is a matter of grave and serious offence. The impact of such big scale fraud in the eyes of public cannot be undermined. It is also a relevant consideration in the matter of enlargement of an accused on bail.

Consequently, this Court is of the view that the applicants are not entitled for bail.

Applications sans merit and are hereby dismissed.

A photocopy of the order be placed in the record of connected case.

E- Certified copy as per rules.

GH COURT OF MADHYA PRADESH
BENCH AT INDORE

Mis. Cr. Case No.32205/2021

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Vs.

State of M.P., through P.S., Amjhera, District Dhar

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Mis. Cr. Case No.32211/2021

Azad Bhandari

Vs.

State of M.P., through P.S., Amjhera, District Dhar

ORDER

Post for: 8 /10/2021

(Rohit Arya)
Judge
7-10-2021